

22STCV04815 22STCV04815

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Case Number: 22STCV04815 Hearing Date: August 24, 2026 Dept: 729

Superior

Court of California

County

of Los Angeles

DEPARTMENT 729

TENTATIVE

RULING

TIMOTHY

HENNESSY,

vs.

ROBERT ASSIL,

et al.

Case No.:

22STCV04815

Hearing Date: August 24, 2026

Defendant Bank of Hope's

demurrer to Plaintiff Timothy Hennessy's fourth amended complaint is sustained without leave to amend as to the 1st, 2nd, 3rd, 4th, 5th, 6th, and 7th causes of action.

Defendants Robert

Assil's and Oakwood Holdings LLC's demurrer to Plaintiff Timothy Hennessy's fourth amended complaint is sustained with 20 days leave to amend as to the 1st, 2nd, 3rd, 4th, 5th, 6th, 7th, and 8th causes of action.

Defendants

Robert Assil's and Oakwood Holdings LLC's motion to strike is denied as moot.

Defendant Bank of

Hope ("BOH") ("Defendant") demurs to Plaintiff Timothy Hennessy's ("Hennessy") ("Plaintiff") fourth amended complaint ("4AC") on the grounds that the causes of action alleged against BOH fail to state facts sufficient to constitute causes of action against it. (Notice Demurrer BOH, pgs. 1-2; C.C.P. §430.10(e).)

Defendants Robert

Assil ("Assil") and Oakwood Holdings LLC ("Oakwood") (collectively, "Oakwood Defendants") demur to Plaintiff's 4AC on the grounds that the 1st, 2nd, 3rd, 4th, 5th, 6th, 7th, and 8th causes of action fail to state facts sufficient to state a cause of action. (Notice Demurrer Oakwood, pgs. 2-3; C.C.P. §430.10(e).)

Oakwood Defendants

move to strike portions of the 4AC. (Notice MTS Oakwood, pgs. 2-3; C.C.P. §§431.10, 435, 435.5, 436, 437.)(1)

Background

Plaintiff filed

his initial complaint on February 8, 2022, against Assil and Oakwood (collectively, "Defendants").

Plaintiff filed

his first amended complaint ("FAC") on January 18, 2023, alleging nine causes of action against Defendants: (1) wrongful eviction; (2) breach of the covenant of quiet enjoyment; (3) failure to offer re-rental (LAMC §151.27); (4) unlawfully offering withdrawn rental units for rent and/or lease (LAMC §151.25); (5) negligence; (6) intentional infliction of emotional distress; (7) violation of LAMC, Art. 5.3; (8) violation of Los Angeles County Code

§8.52.130; and (9) fraudulent misrepresentation.

On July 28, 2023,
this Court overruled both Oakwood Defendants' demurrers to the FAC as to the 1st, 2nd, 3rd, 4th, 5th, 7th, and 8th causes of action and sustained the demurrers with 20 days leave to amend as to the 6th and 9th causes of action. (7/28/23 Minute Order.)

On August 4,
2023, Plaintiff filed the second amended complaint alleging nine causes of action: (1) wrongful eviction; (2) breach of the covenant of quiet enjoyment; (3) failure to offer re-rental (LAMC §151.27); (4) unlawfully offering withdrawn rental units for rent and/or lease (LAMC §151.25); (5) negligence; (6) intentional infliction of emotional distress; (7) violation of LAMC, Art. 5.3; (8) violation of Los Angeles County Code §8.52.130; and (9) fraudulent misrepresentation.

On March 11,
2024, this Court sustained Oakwood Defendants' demurrers to the 6th cause of action without leave to amend.
(3/11/24 Minute Order.)

On June 24, 2024,
Plaintiff filed a DOE amendment, naming BOH as DOE 1. (6/24/24 Amendment to Complaint.)

On August 1,
2025, this Court granted Defendant BOH's motion for judgment on the pleadings of the SAC with 20 days leave to amend.
(8/1/25 Minute Order.)

On August 21,
2025, Plaintiff filed its third amended complaint ("TAC") alleging nine causes of action: (1) wrongful eviction [against all Defendants]; (2) breach of the covenant of quiet enjoyment [against all Defendants]; (3) failure to offer re-rental (LAMC §151.27) [against all Defendants]; (4) unlawfully offering withdrawn rental units for rent and/or lease (LAMC §151.25) [against all Defendants]; (5) negligence [against all Defendants]; (6) intentional infliction of emotional distress [against Oakwood Defendants]; (7) violation of LAMC, Art. 5.3 [against all Defendants]; (8) violation of Los Angeles County Code §8.52.130 [against all Defendants]; and (9) fraudulent misrepresentation [against Oakwood Defendants].

On March 30, 2026, this Court sustained BOH's demurrer to the 1st, 2nd, 3rd, 4th, 5th, 7th, and 8th causes of action with 20 days leave to amend. (3/30/26 Minute Order.)

On April 22, 2026, Plaintiff filed the operative 4AC alleging eight causes of action: (1) wrongful eviction [against all Defendants]; (2) breach of the covenant of quiet enjoyment [against all Defendants]; (3) failure to offer re-rental (LAMC §151.27) [against all Defendants]; (4) unlawfully offering withdrawn rental units for rent and/or lease (LAMC §151.25) [against all Defendants]; (5) negligence [against all Defendants]; (6) violation of LAMC, Art. 5.3 [against all Defendants]; (7) violation of Los Angeles County Code §8.52.130 [against all Defendants]; and (8) fraudulent misrepresentation [against Oakwood Defendants].

On May 23, 2026, Defendant BOH filed its demurrer. [2] On August 11, 2026, Plaintiff filed his opposition to BOH's demurrer. On August 17, 2026, Defendant BOH filed its reply.

On May 27, 2026, Oakwood Defendants filed their demurrer and accompanying motion to strike. On August 11, 2026, Plaintiff filed his opposition to Oakwood Defendants' demurrer and accompanying motion to strike. On August 17, 2026, Oakwood Defendants filed their reply.

A.
BOH's Demurrer

Request for
Judicial Notice

Defendant BOH's 5/21/26 request for judicial notice of (1) the County-Certified copy of Deed of Trust dated February 9, 2017, identifying BOH as lender, recorded in the official records of Los Angeles County on February 14, 2017, as instrument number 20170181196 (DBH-RJN, Exh. A); and (2) County-Certified copy of the Full Reconveyance of that Deed of Trust, recorded in the official records of Los Angeles County on October 28, 2022, as instrument number 20221030388 (DBH-RJN, Exh. B), is

granted.

Meet and Confer

On May 12, 2026, Defendant BOH's counsel spoke telephonically with Plaintiff's counsel regarding the 4AC and the parties did not reach an agreement.

(Decl. of Debbas ¶¶3-4.) Defendant

BOH's counsel's declaration is sufficient under C.C.P. §430.41. Therefore, the Court will consider Defendant BOH's demurrer.

Summary of Demurrer

Defendant BOH demurs

to the 1st, 2nd, 3rd, 4th, 5th, 6th, and 7th causes of action on the basis they fail to state facts sufficient to constitute causes of action against it. (Demurrer BOH, pgs. 3-4; C.C.P. §430.10(e).)

Legal Standard

"[A] demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (See Donabedian v. Mercury Insurance Co. (2004) 116 Cal.App.4th 968, 994 [in ruling on a demurrer, a court may not consider declarations, matters not subject to judicial notice, or documents not accepted for the truth of their contents].) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (Aubry v. Tri-City Hospital District (1992) 2 Cal.4th 962, 967.)

Failure to State a Claim

Wrongful Eviction; Breach of the Covenant of

Quiet Enjoyment; Failure to Offer Re-Rental (LAMC §151.27); Unlawfully Offering Withdrawal Rental Units for Rent and/or Lease; Violation of LAMC Article 5.3; & Violation of Los Angeles County Code §8.52.130 (1st, 2nd, 3rd,

4th, 6th, & 7th COAs)

Civil

Code §2938(c) specifies that a lender's right under an assignment of rents clause require the following as prerequisites to seeking collection:

(1)

The appointment of a receiver;

(2)

Obtaining possession of the rents, issues, or profits;

(3)

Delivery to any one or more of the tenants of a written demand for turnover of rents, issues, and profits in the form specified in subdivision (k), a copy of which demand shall also be delivered to the assignor; and a copy of which shall be mailed to all other assignees of record of the leases, rents, issues, and profits of the real property at the address for notices provided in the assignment or, if none, to the address to which the recorded assignment was to be mailed after recording.

(4)

Delivery to the assignor of a written demand for the rents, issues, or profits, a copy of which shall be mailed to all other assignees of record of the leases, rents, issues, and profits of the real property at the address for notices provided in the assignment or, if none, to the address to which the recorded assignment was to be mailed after recording.

(Civ. Code
§2938(c).)

Civil

Code §2938(d) also provides that if the lender pursues the remedy under paragraph (3) of subdivision (c), it must sign the demand for rents under penalty of perjury and not effective until "actually received by the tenant at the address for notices provided under the lease or other contractual agreement under which the tenant occupies the property."

(Civ. Code §2938(d).)

Plaintiff

alleges that at or around the time Oakwood Defendants purchased the Property, they entered into an Agreement and Deed of Trust with Defendant BOH that provided and required, in part, that they procure and maintain comprehensive general liability insurance which names Defendant BOH as an additional insured. (4AC ¶27.) Plaintiff alleges that the Agreement and Deed of Trust further defined failure to procure and maintain such insurance as an Event of Default, which would entitle Defendant BOH to, among other remedies, without notice, take possession of and manage the Property and collect the Rents, including amounts past due and unpaid. (4AC ¶27.)

Plaintiff alleges that at all relevant times, Oakwood Defendants failed to procure and maintain comprehensive general liability insurance and, thus, Defendant BOH was and remains entitled to, among other remedies, receive rent for the use of the Property as a rental unit. (4AC ¶27.)

Plaintiff

cannot allege that Defendant BOH is a landlord pursuant to the LAMC solely because of an assignment of rents clause in the Deed of Trust. Civil Code §2938(c) requires a lender seeking to enforce an assignment of rents clause to take one or more of the affirmative steps identified in (c)(1) through (c)(4) in order to collect on those rents. Here, Plaintiff does not allege that Defendant BOH pursued any of those alternatives under Civil Code 2938(c). In addition, the LAMC cannot exercise a contracting party's optional remedy for it. The Court of Appeal has specifically found that "the enactment of section 2938 did not alter existing California law requiring that a lender holding a perfected security interest in rents must take some form of an enforcement step to terminate the borrower's right to post-default rents." (Federal National Mortgage Assn. v. Bugna (1997) 57 Cal.App.4th 529, 540-541.) Further, BOH released its Deed of Trust on the Subject Property in 2022. (See DBH-RJN, Exh. B.) Therefore, Plaintiff cannot state a claim that BOH "remains" entitled to pursue some remedies under the Deed of Trust.

Accordingly,

Defendant BOH's demurrer to Plaintiff's 1st, 2nd 3rd, 4th, 6th, and 7th causes of action are sustained without leave to amend.

Negligence (5th COA)

"[A]s a general rule, a financial institution owes no duty of care to a borrower when the institution's involvement in the loan transaction does not exceed the scope of its conventional role as a mere lender of money." (Nymark v. Heart Federal Savings & Loan Association (1991) 231 Cal.App.3d 1089, 1096.)

The Nymark Court reached this holding by considering the six factors identified by the California Supreme Court in *Biakanja v. Irving* (1958) 49 Cal.2d 647, to determine whether to recognize a duty of care. (Nymark, 231 Cal.App.3d at pg. 1098.) The test for determining whether a financial institution owes a duty of care to a borrower-client involves the balancing of various factors, among which are (1) the extent to which the transaction was intended to affect the plaintiff, (2) the foreseeability of harm to the plaintiff, (3) the degree of certainty that the plaintiff suffered injury, (4) the closeness of the connection between the defendant's conduct and the injury suffered, (5) the moral blame attached to the defendant's conduct, and (6) the policy of preventing future harm. (Id.) The Nymark Court stressed the purpose of the appraisal was to protect the lender's interest and was not intended to assure the borrower the collateral was sound or to induce him to enter into the loan transaction. (Id. at pg. 1099.)

Here, Plaintiff fails to allege how Defendant BOH allegedly came to take on a role in the alleged transaction beyond that of a lender. Plaintiff alleges mere legal conclusions rather than facts that sufficiently allege that Defendant BOH owed Plaintiff a duty of care. Further, Plaintiff's opposition fails to address BOH's demurrer to the 5th cause of action, thereby conceding the cause of action lacks merit.

Accordingly, Defendant BOH's demurrer to the 5th cause of action is sustained without leave to amend.

Conclusion

Defendant BOH's demurrer to Plaintiff's 4AC is sustained without leave to amend.

Moving Party to

give notice.

B.

Oakwood Defendants' Demurrer

Request for
Judicial Notice

Oakwood Defendants' 5/27/26 request for judicial notice of (1) Los Angeles County Municipal Code, Article 5.3 sections 45.30 through 45.39.1, including the effective-date notation for Ordinance No. 187109; (2) Los Angeles Municipal Code Sections 151.02, 151.25, and 151.27; (3) Los Angeles County Code Chapter 8.52, including sections 8.52.030, 8.52.040, and 8.52.130; (4) Government Code section 7060.2; (5) Civil Code section 3; (6) Civil Code section 3295; and (7) Civil Code section 3345, is granted.

Oakwood Defendants' 5/27/26 request for judicial notice of Plaintiff's 4AC, 7/28/23 Minute Order, 3/11/24 Minute Order, and 3/30/26 Minute Order is denied because this Court does not need to take judicial notice of filings on the instant docket.

Meet and Confer

Before filing a demurrer pursuant to this chapter, the demurring party shall meet and confer in person, by telephone, or by video conference with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer. (C.C.P. §430.41(a), emphasis added.) A declaration must be filed with a demurrer regarding the results of the meet and confer process. (C.C.P. §430.41(a)(3).)

Oakwood Defendants' counsel's declaration states that on May 18, 2026, he sent a letter to Plaintiff's counsel asking to meet and confer. (Decl. of Jafari ¶15.) Oakwood Defendants' meet and confer attempt is in violation of C.C.P. §430.41 because counsel did not attempt to meet and confer in person, by telephone, or by video conference. Letter and email writing does not constitute meeting and conferring in real time as contemplated by the statute; it is merely corresponding. However, the failure to sufficiently meet and confer is not grounds to overrule or sustain a demurrer. (C.C.P. §430.41(a)(4); Dumas

v. Los Angeles County Board of Supervisors (2020) 45 Cal.App.5th 348, 355; Olson

v. Hornbrook Community Services District (2019) 33 Cal.App.5th 502, 515.) Therefore, the Court will consider Oakwood Defendants' demurrer.

Summary of Demurrer

Oakwood

Defendants demur on the basis the 4AC fails to state facts sufficient to allege a cause of action because the 1st, 2nd, 3rd, 4th, 5th, and 8th causes of action are time-barred, and the 6th and 7th causes of action cannot apply retroactively. (Demurrer Oakwood, pgs. 1-2; C.C.P. §430.10(e).)

Legal Standard

"[A] demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (See Donabedian v. Mercury Insurance Co. (2004) 116 Cal.App.4th 968, 994 [in ruling on a demurrer, a court may not consider declarations, matters not subject to judicial notice, or documents not accepted for the truth of their contents].) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (Aubry v. Tri-City Hospital District (1992) 2 Cal.4th 962, 967.)

Previous Demurrers

On July 28, 2023, this Court overruled Oakwood Defendants' demurrer to the 1st (Wrongful Eviction), 2nd (Breach of the Covenant of Quiet Enjoyment), 3rd (Failure to Offer Re-Rental (LAMC §151.27)), 4th (Unlawfully Offering Withdrawal Rental Units for Rent and/or Lease), 5th (Negligence), 7th (Violation of LAMC Article 5.3), and 8th (Violation of Los Angeles County Code §8.52.130) causes of action and sustained with leave to amend the demurrer to the now-dismissed 6th cause of action for intentional infliction of emotional distress, and the former 9th

cause of action, which is now the 8th cause of action for fraudulent misrepresentation. (See 7/28/23 Minute Order.)

There appears to be a split of appellate authority on whether it is proper to demur again to a cause of action as to which a demurrer has already been overruled. On the one hand, cases such as *Pacific States Enterprises, Inc. v. City of Coachella* (1993) 13 Cal.App.4th 1414 provide that it is proper. (See *id.* at pg. 1420 n.3; see also *Pavicich v. Santucci* (2000) 85 Cal.App.4th 382, 389 n.3.) On the other hand, *Bennett v. Suncloud* (1997) 56 Cal.App.4th 91 provides that to entertain such a demurrer is improper. (*Id.* at pg. 97.) Where there is a split of authority, “the court exercising inferior jurisdiction can and must make a choice between the conflicting decisions.” (*Auto Equity Sales, Inc. v. Superior Court of Santa Clara County* (1962) 57 Cal.2d 450, 456.)

The Court will follow *Pacific States* here. *Pacific States'* observation is particularly true that “[t]he interest of all parties are advanced by avoiding a trial and reversal for defect in pleadings.” (*Pacific States*, 13 Cal.App.4th at pg. 1420 n.3, quoting *Ion Equipment Co. v. Nelson* (1980) 110 Cal.App.3d 868, 877.) The Court will therefore consider the substance of *Oakwood Defendants'* demurrer, notwithstanding that the Court's previous ruling in the 7/28/23 Minute Order.

Statute of Limitations

Wrongful Eviction, Breach of Covenant of Quiet Enjoyment, Failure to Offer Re-Rental (LAMC §151.27), Unlawfully Withdrawn Rental Units for Rent and/or Lease (LAMC §151.25), Negligence, & Fraudulent Misrepresentation (1st, 2nd, 3rd, 4th, 5th, & 8th COAs)

Plaintiff alleges that on or about August 2007, Plaintiff took possession of the Premises pursuant to a written lease agreement (“Lease”). (4AC ¶16.) Plaintiff alleges that on or about March 14, 2016, Defendants' predecessor in interest, Jeffrey S. Thomas, a.k.a. Jeff Thomas (“Thomas”) acquired the Property. (4AC ¶17.) Plaintiff alleges that on or about August 31,

2016, Thomas notified Plaintiff of his intention to permanently withdraw the Property from the rental market, thereby terminating Plaintiff's tenancy. (4AC ¶18.)

Plaintiff alleges

that since Plaintiff is disabled as defined by Government Code Section 12955.3 and California Civil Code Section 1761, Thomas notified Plaintiff his tenancy would terminate on or about August 1, 2017. (4AC ¶19.)

Plaintiff alleges

that on or about November 15, 2016, Oakwood Defendants purchased the property from Thomas. (4AC ¶20.)

Plaintiff alleges

that in March of 2017, Defendant Assil, while at the Property, notified Plaintiff that Defendants intend to withdraw the Property from the rental market, and that, accordingly, Plaintiff's tenancy would still terminate on or about August 1, 2017. (4AC ¶21.) Plaintiff alleges that on or about July 31, 2017, Oakwood Defendants terminated Plaintiff's tenancy, and Plaintiff vacated the Premises. (4AC ¶22.)

Plaintiff alleges

on information and belief that at the time Defendant Assil notified Plaintiff that Defendants were withdrawing the Property from the rental market and at the time Defendants terminated Plaintiff's tenancy, Oakwood Defendants had no intention of permanently withdrawing the Premises from the rental market, and instead wrongfully terminated Plaintiff's tenancy under false pretense, in order to remove Plaintiff, a low paying tenant, and replace him with a higher paying tenant. (4AC ¶23.)

Plaintiff alleges

that on or about September 1, 2017, Plaintiff notified Defendants of his interest in re-renting should the removed Property again be used as rental housing. (4AC ¶24.)

Oakwood Defendants

argue that the 4AC pleads operative events in 2016 and 2017, but this action was filed in February 2022. (4AC ¶¶18-24.)

The 1st and 5th causes of action sound in tort and seek personal-injury and related damages arising from the 2017 termination and vacatur and are therefore untimely

under the two-year personal-injury statute. (C.C.P. §335.1.) Oakwood Defendants argue that to the extent Plaintiff recasts those claims as statutory-liability or injury-to-property claims, they remain untimely because the alleged breach, injury, and vacatur occurred no later than July 31 or August 1, 2017, more than three years before filing. (C.C.P. §338(a), (b).)

Oakwood

Defendants argue that the 2nd cause of action for breach of quiet enjoyment is untimely even if treated as a written-lease claim because the alleged breach and loss of possession occurred no later than July 31 or August 1, 2017, more than four years before filing. (C.C.P. §§337(a), 339(1).)

Finally, Oakwood

Defendants argue the 8th Cause of Action for fraud is untimely because it rests on a March 2017 statement and July 2017 termination and vacatur. (C.C.P. §338(d).)

Oakwood

Defendants' demurrer is well taken. The

Court of Appeal in *Childs v. State of California* stated, "[o]ur survey of the cases addressing the issue persuades us that use of the term 'on or about' when pleading dates constitutes a proper pleading only where the date specifically alleged is well within the applicable time constraint and where the actual date on which the subject event occurred is within close proximity to the alleged date." (*Childs v.*

State of California (1983) 144 Cal.App.3d 155, 160, emphasis added.) Here, Plaintiffs' allegation of time "on or about" are outside of the applicable statutes of limitations; Plaintiffs must therefore allege delayed discovery with facts showing the time and manner of discovery and inability to discover earlier despite reasonable diligence. (*Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797, 808; *E-Fab, Inc. v. Accountants, Inc. Services* (2007) 153 Cal.App.4th 1308, 1324.) Conclusory delayed-discovery allegations are insufficient. (*Grisham v. Philip Morris U.S.A., Inc.* (2007) 40 Cal.4th 623, 638.)

Plaintiff alleges

only that he moved out of state and did not discover the facts until recently due to concealment. (4AC ¶30.) Plaintiff fails to plead when or how he discovered the facts, what was concealed, who concealed it, what affirmative concealment occurred, what diligence he undertook, or why earlier discovery was impossible.

Accordingly,

Oakwood Defendants' demurrer to the 1st, 2nd, 3rd, 4th, 5th, and 8th causes of action based on the statute of limitations is sustained with 20 days leave to amend.

Retroactivity

Violation of LAMC Article 5.3 & Violation of
Los Angeles County Code §8.52.130 (6th & 7th COAs)

California law presumes statutes and ordinances operate prospectively unless retroactivity is expressly declared or clearly required. (Civ. Code §3; Evangelatos v. Superior Court (1988) 44 Cal.3d 1188, 1206-1209.) A later enactment has retroactive effect when it substantially changes the legal consequences of past events. (McClung v. Employment Development Dept. (2004) 34 Cal.4th 467, 472.)

A statute

increasing liability for past conduct is retroactive. (Myers v. Philip Morris Companies, Inc. (2002) 28 Cal.4th 828, 840-845.)

LAMC Article 5.3

was added by Ordinance No. 187109 and became effective August 6, 2021. (4AC ¶¶71-75; LAMC, art. 5.3; Ord. No. 187109, eff. Aug. 6, 2021.) The 4AC

pleads conduct ending with Plaintiff's July 31, 2017, termination and vacatur. It pleads no post-August 6, 2021, landlord-tenant

relationship, possession, tenancy, communication, demand, notice, entry, threat, service reduction, rent demand, refusal, housing service, or other act by Oakwood Defendants toward Plaintiff. (4AC ¶¶18-25, 71-75.)

Los Angeles

County Code Chapter 8.52 applies to rental units in unincorporated Los Angeles County.

(L.A. County Code §§8.52.030(M), (S), (Y), (EE), 8.52.040(A).) Plaintiff

pleads that the City of Los Angeles property subject to the Los Angeles Rent Stabilization Ordinance ("LARSO"); however, Plaintiff does not plead that unincorporated County property is subject to LARSO. (4AC ¶¶2, 5.) Plaintiff also does not plead any rental agreement or tenancy with

Oakwood Defendants

after Chapter 8.52 became effective. (4AC

¶¶ 2, 5, 22, 76-80; L.A. County Code §§8.52.030(E), 8.52.040(A), 8.52.130.) Chapter 8.52 became effective April 1, 2020. (L.A. County Code, § 8.52.040(A).)

Plaintiff fails

to plead post-April 1, 2020, conduct by Oakwood Defendants and Plaintiff cannot retroactively seek enforcement of the County tenant-harassment remedies, penalties, fees, or punitive-type relief for 2016-2017 conduct. (4AC ¶¶18-25, 76-80; L.A. County Code, ch. 8.52.) The same prospective-only rule bars the County Code claim. (Civ. Code §3; Evangelatos v. Superior Court (1988) 44 Cal.3d 1188, 1206-1209; Myers v. Philip Morris Companies, Inc. (2002) 28 Cal.4th 828, 840-845.)

Accordingly,

Oakwood Defendants' demurrer to the 6th and 7th causes of action is sustained with 20 days leave to amend.

Failure to State

a Claim

Fraudulent

Misrepresentation (8th COA)

"The elements of fraud that will give rise to a tort action for deceit are: '(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.'" (Engalla v. Permanente Medical Group, Inc. (1997) 15 Cal.4th 951, 974, internal quotation marks omitted.)

Fraud actions are

subject to strict requirements of particularity in pleading. (Committee on Children's Television, Inc. v. General Foods Corp. (1983) 35 Cal.3d 197, 216.) Fraud must be pleaded with specificity rather than with general and conclusory allegations. (Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 184.) The specificity requirement means a plaintiff must allege facts showing how, when, where, to whom, and by what means the representations were made. (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.)

Plaintiff alleges

Defendants notified Plaintiff (and the City of Los Angeles) that they were permanently withdrawing the Property from the rental market and permanently going out of business as landlords as to the Property. In March of 2017, Defendant Assil, while at the Property, represented to Plaintiff, through an in-person conversation, that Defendants intend to withdraw the Property from the rental market, and that, accordingly, Plaintiff's tenancy would still terminate on or about August 1, 2017. (4AC ¶83.)

Plaintiff alleges

that at the time Defendants, and in particular, Defendant Assil made this representation to Plaintiff and terminated Plaintiff's tenancy, Defendants did not intend to withdraw the Property from the rental market. (4AC ¶84.)

Plaintiff alleges that instead, Defendants' true intention was to fraudulently remove low-rent paying tenants from the Property, including Plaintiff, so that Defendants could then bring in new tenants, raise rents to market rate, and unjustly enrich themselves. (4AC ¶84.)

Plaintiff alleges

that Defendants intended for Plaintiff to rely on this fraudulent misrepresentation and Plaintiff did, in fact, justifiably rely on this material misrepresentation in taking action, or failing to take action. (4AC ¶85.)

Plaintiff alleges

that as a result of Defendants' fraudulent misrepresentation, Plaintiff was harmed in that he was deprived of his valid possessory rights in the Property. (4AC ¶86.)

Plaintiff alleges

fraudulent misrepresentation with sufficient particularity.

Accordingly,

Oakwood Defendants' demurrer on the basis of particularity is overruled.

Conclusion

Oakwood

Defendants' demurrer to the 1st, 2nd, 3rd, 4th, 5th, 6th, 7th, and 8th causes of action is sustained with 20 days leave to amend.

Moving Party to
give notice.

C. Oakwood
Defendants' Motion to Strike

Conclusion

In light of the
Court's ruling on the demurrer, Oakwood Defendants' motion to strike is denied
as moot.

Moving Party to
give notice.

Dated: August _____, 2026

Hon. Daniel M. Crowley

Judge of the Superior Court

[1] The Court notes that while a Demurrer and an MTS can
be filed simultaneously, they are two separate motions that serve distinct
purposes. Each motion should have an individual notice stating the relief
sought.

[2] BOH's demurrer states that it demurs to the 8th cause
of action at the top of page 3, on line 3, but BOH does not substantively demur
to the 8th cause of action. The Court
therefore will not rule on BOH's demurrer to the 8th cause of action.